

Creating Social Value

Chapter 14 — Innovation for Social Change

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Learning Objectives

By the end of this chapter, you will be able to:

- **Define** Social Innovation and Social Entrepreneurship.
- **Distinguish** between charity, social business, and commercial business.
- **Analyze** the "Bottom of the Pyramid" (BoP) as a market opportunity.
- **Evaluate** the concept of Frugal Innovation (doing more with less).
- **Understand** the challenges of scaling social impact.

What is Social Innovation?

Innovation is not just about iPhones and software. It is about solving problems.

Definition

Social Innovation involves new ideas (products, services, and models) that simultaneously meet social needs and create new social relationships or collaborations.

Key Drivers:

- Market Failure (Private sector ignores the poor).
- State Failure (Public sector is inefficient).
- Technological Possibility (Mobile phones connecting the unbanked).

The Hybrid Spectrum

Social entrepreneurship exists on a spectrum between pure charity and pure business.

The "Double Bottom Line"



The "Double Bottom Line" Tension

Social entrepreneurs face a unique paradox.

Mission Drift

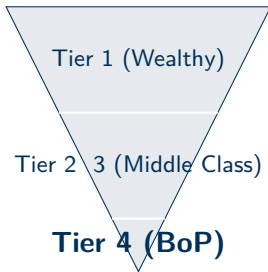
The risk that the pursuit of financial sustainability (profit) will gradually overshadow the social mission.

Management Challenges:

- **Accountability:** Who are you accountable to? Donors? Beneficiaries? Investors?
- **Measurement:** Money is easy to count. "Social Impact" is hard to quantify (e.g., increased self-esteem).

The Base of the Pyramid (BoP)

C.K. Prahalad's concept: The poor are not just victims; they are resilient entrepreneurs and value-conscious consumers.



The BoP Market:

- 4 Billion People
- i \$2 per day
- High Volume, Low Margin
- "The Fortune at the Bottom of the Pyramid"

Constraints as Innovation Drivers

Innovating for the BoP requires rethinking the product, not just stripping features.

- **Affordability:** Must be drastically cheaper (e.g., 10x cheaper).
- **Durability:** Must survive harsh environments.
- **Sustainability:** Cannot rely on reliable electricity or water.

Sachet Marketing

Selling high-quality products (shampoo, detergent) in single-use micro-packets to match the cash flow of the poor (daily wages).

"Doing more with less for more people."

Characteristics:

- Robustness.
- Simplicity (No "feature creep").
- User-centricity.

Reverse Innovation

Innovations developed for the BoP that are later adopted in developed markets (e.g., portable ultrasound machines).

Social innovation follows a specific trajectory from inspiration to systemic change.

The Challenge of Scaling

Many social innovations work as a pilot but fail to scale.

Why is scaling hard?

- **Context Dependence:** A solution that works in rural India may not work in Kenya.
- **Lack of Infrastructure:** Distribution channels are often nonexistent.
- **Capital Gap:** The "Missing Middle" financing gap between microfinance and venture capital.

Strategies: Franchising (e.g., VisionSpring), Government Partnership, Open Source.

Measuring Success: SROI

How do we measure "good"?

Social Return on Investment (SROI)

A framework for measuring and accounting for value more broadly. It incorporates social, environmental, and economic costs and benefits.

Formula Concept:

$$SROI = \frac{\text{Net Present Value of Social Impact}}{\text{Net Present Value of Investment}}$$

Example: For every \$1 invested, we create \$4 of social value (health savings, education).

Summary:

1. Social Innovation addresses needs that the market and state have failed to meet.
2. Social Entrepreneurs balance a **Double Bottom Line** (Social + Financial).
3. The **BoP** represents a massive opportunity for innovation, not just charity.
4. **Frugal Innovation** challenges the assumption that "better" means "more expensive."
5. Scaling requires moving from "projects" to "systems."

Thank You

Questions?